

not incur fancy fund management charges. These funds are called passive funds.

Active versus passive funds

An expense borne by the fund house is ultimately a fee that you as an investor will pay. To a consumer of a service, as long as the service is making sense, the expenses are not a problem. In the case of mutual funds, the service is the ‘outperformance’ that the fund manager is able to generate for you. Note that our focus is on outperformance and not just the performance of the fund. Outperformance, which is also called ‘alpha’, is the incremental performance that the fund manager generates vis-à-vis a benchmark (such as the Nifty or the Sensex).

There are ETFs, or exchange traded funds, which fully replicate a benchmark. For example, a Nifty ETF is a fund that invests in all the fifty Nifty companies in the same proportion as they are in the index. This ensures that the value of the fund moves exactly like Nifty.

ETFs as a rule have very minimal expense ratios since they do not offer ‘active’ fund management and hence do not have to employ highly paid fund managers. An ETF is almost like a technology platform. Since an ETF does not have to pay a fund manager, it is able to charge fees which are lower than actively managed funds. Most index ETFs today charge fees ranging from 0.05 to 0.15 per cent whereas most active equity funds in India charge in excess of 2 per cent.

In an actively managed fund, a fund manager manages the money using his judgement and discretion and thus charges a fee. At the other end, passively managed funds have no input from a human manager. Passively managed funds come in two types: funds with brains and funds without. In the former (also called ‘Smart Beta’ funds), the fund is run based on a preset strategy or an algorithm. For example, there are mutual funds which invest in a mix of Nifty and government bonds. The weightage of each asset class is determined by the Price/Earnings (or P/E)⁷ of the Nifty. In other words, based on an allocation table, the fund invests more in the Nifty when markets are cheap